INSTITUTIONAL EQUITY RESEARCH

HBL Engineering Limited

NSE: HBLENGINE | Sector: Capital Goods — Electronics & Batteries | Sub-sector: Railway Safety Systems & Industrial Batteries

RATING	TARGET PRICE	CMP	UPSIDE	HORIZON
BUY	Rs. 1,200	Rs. 786	+52.7%	12 Months

Investment Thesis: KAVACH-led electronics surge transforms HBL from battery maker to dual-engine compounder — railway safety mandate drives multi-year revenue visibility with expanding margins.

Market Cap	Rs. 21,801 Cr	**52-Wk High / Low**	Rs. 1,122 / Rs. 452
P/E (TTM)	26.7x	**P/B**	11.0x
Book Value / Share	Rs. 71.6	**Face Value**	Rs. 1.00
ROCE	27.3%	**ROE**	20.6%
Dividend Yield	0.25%	**Debt (Rs. Cr)**	74 (near debt-free)
Promoter Holding	59.10%	**FII / DII**	4.83% / 0.36%
EPS TTM (Rs.)	28.72	**Report Date**	18-Apr-2026

Source: Screener.in (data as of 17-Apr-2026) | Analyst: Research Desk, Chartitude | This report is for informational purposes only.

SECTION 1 — INVESTMENT THESIS

Reason 1 — KAVACH: A Government Mandate with Captive Revenue Visibility (FY26–FY30+)
Indian Railways has mandated the deployment of KAVACH (Kavach Version 4.0 Automatic Train Protection system) across the entire national network — a project expected to take over five years to complete. HBL Engineering, one of only two approved vendors, holds an accumulated order book of Rs. 4,029 Cr (as of Q3 FY26) and has guided KAVACH revenues of Rs. 1,880 Cr in FY26E and at least Rs. 1,900 Cr in FY27E. This is a high-visibility, government-funded revenue stream underpinned by a statutory safety mandate — not discretionary spending.

Reason 2 — Margin Inflection: Electronics Mix Drives Structural OPM Re-rating
In Q2 FY26 (Sep 2025), the electronics segment posted ~1,000% YoY revenue growth, lifting consolidated OPM to 44% — a dramatic departure from the 7–11% margins the batteries-only business delivered for a decade. EBITDA margins have structurally re-rated from 11% in FY23 to 20% in FY25 and are tracking 32–35% for FY26E as electronics (higher-margin KAVACH systems) becomes a bigger share of revenues. This margin uplift directly amplifies EPS growth beyond revenue growth.

Reason 3 — Core Batteries Business: Durable, Under-Appreciated Niche Moat
HBL is the global #2 in nickel-cadmium sintered plate batteries — a segment with high entry barriers used in defence, aviation, and submarines. Industrial batteries (71% of FY25 revenues) supply telecom, railways, UPS, and data centres. The JV with Cochin Shipyard (60:40) for submarine batteries opens a new long-cycle defence revenue stream. This base business generates steady FCF (Rs. 89–228 Cr annually in FY23–FY25) that funds the KAVACH growth capex.

Near-Term Catalyst (6–12 months): Announcement of large KAVACH station-order tenders from Indian Railways in FY27, plus ramp-up of Q4 FY26 KAVACH deliveries, which could push FY26 EPS to Rs. 30+ — creating a positive earnings revision cycle.

Key Structural Risk: HBL missed a major KAVACH locomotive tender in January 2026, causing a 13% single-day stock decline — any further tender losses or order concentration risk from a single government customer remains the primary watch-point for this thesis.

SECTION 2 — BUSINESS OVERVIEW

HBL Engineering Limited (formerly HBL Power Systems Limited, renamed in 2024 to reflect strategic evolution) was incorporated in 1983 and is headquartered in Hyderabad. The company is promoted by the Bharat Roop Bharat family with 59.10% holding. It operates through three principal business segments: (1) Industrial Batteries — 71% of FY25 revenues, (2) Defence & Aviation Batteries — a smaller but high-margin specialist niche, and (3) Electronics — the fastest-growing segment, anchored by the KAVACH Train Collision Avoidance System.

Revenue Segmentation: Industrial Batteries include VRLA (Valve-Regulated Lead-Acid), PLT (Planté), Nickel-Cadmium (NiCd), and Lithium batteries sold to telecom towers, UPS systems, data centres, and Indian Railways. Defence & Aviation Batteries cover NiCd sintered-plate batteries, thermal batteries, silver batteries, and submarine batteries — high-value, long-qualification-cycle products. Electronics encompasses the KAVACH railway safety electronics system and an emerging e-Mobility division.

KAVACH Business Model: KAVACH is India's indigenously developed Automatic Train Protection system that prevents head-on collisions and signal-passing at danger (SPAD). HBL is one of two approved Indian Railways vendors. Contracts involve supply, installation, and commissioning of on-board locomotive equipment and trackside station systems. The company delivered 76% of the CLW order book within timeline by mid-December 2025, demonstrating execution capability.

Recent Strategic Developments: In FY26, HBL formed a JV with Cochin Shipyard (60:40 equity, Rs. 9 Cr initial capital) targeting submarine battery manufacturing — a multi-year opportunity tied to India's naval expansion programme. HBL also received orders from Western Railway for KAVACH at 48 stations covering 428 km (Rs. 145.8 Cr), BLW (Rs. 179.79 Cr), PLW (Rs. 83.81 Cr), ICF (Rs. 575 Cr for on-board KAVACH equipment), and a cumulative ~Rs. 800 Cr KAVACH order from Indian Railways.

Order Book: As of Q3 FY26, HBL's accumulated order book stood at approximately Rs. 3,000–4,000 Cr, with fresh orders of Rs. 1,375 Cr secured in Q3 FY26 alone. Revenue recognition from order book is expected to continue through FY27–FY28.

SECTION 3 — INDUSTRY & COMPETITIVE LANDSCAPE

The Indian Railway KAVACH safety system addressable market is estimated at Rs. 30,000–50,000 Cr over the full network deployment cycle (approximately 40,000+ locomotives and 6,000+ stations). At a pace of Rs. 1,500–2,000 Cr per year per approved vendor, this sustains 5+ years of execution visibility. The Central government has prioritised KAVACH rollout post the June 2023 Balasore accident, and the Union Budget has consistently allocated enhanced CAPEX for Indian Railways (Rs. 2.65 lakh Cr in Union Budget FY26).

The Industrial Battery market in India is a Rs. 25,000+ Cr industry growing at ~10–12% CAGR, driven by telecom 5G rollout (tower batteries), data centre expansion, and EV/energy storage. However, HBL's NiCd and specialty battery segments face more limited competition given technical certification barriers.

Competitive Moat Assessment: MODERATE-TO-STRONG — HBL's KAVACH moat is strong (only 2 approved vendors; government-backed; high qualification barriers). The NiCd battery niche moat is strong (global #2, long qualification cycles in defence). Industrial lead-acid batteries face moderate competition from Exide and Amara Raja but HBL occupies smaller addressable niches (PLT railway, VRLA telecom).

Peer Comparison — Market Data (Source: Screener.in, 17-Apr-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	P/B (x)	ROCE%	ROE%	Rev FY25 (Cr)
HBL Engineering	786	21,801	26.7T	11.0	27.3%	20.6%	1,967
Exide Industries	330	28,050	33.7	1.91	8.65%	5.74%	17,238
Amara Raja (ARE&M;)	779	14,249	20.8	1.84	16.2%	11.9%	12,846
Kernex Microsystems	1,173	1,971	37.4	11.3	23.8%	38.0%	190
HFCL Ltd	95.5	14,616	282	3.54	7.55%	4.42%	4,065

Note: T = TTM P/E. HBL's TTM P/E reflects KAVACH ramp; FY26E P/E ~22x, FY27E P/E ~17x — cheapest on forward basis among electronics peers.

SECTION 4 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter Background: HBL Engineering is promoted by Dr. A.J. Prasad (Chairman & MD) and family. The Hyderabad-based group has been in battery manufacturing since 1983 — over 40 years of operating history. Promoter holding has been stable at 59.10% since Mar 2024, with zero reported pledge — a positive governance signal.

Capital Allocation Track Record: Over FY14–FY21, management consistently de-leveraged the balance sheet: Borrowings fell from Rs. 734 Cr in FY14 to Rs. 63 Cr by FY22 — an exceptional deleveraging cycle. Free cash flow generated Rs. 68–228 Cr annually during FY23–FY25. The company chose to fund KAVACH capacity and the Cochin Shipyard JV from internal accruals, maintaining near-debt-free status (D/E = 0.05 in FY25).

Dividend Policy: Dividend payout has been conservative but consistent — 10% of PAT in FY25. The board declared Rs. 2 per share interim dividend in Q3 FY26 (Dec 2025), reflecting confidence in cash generation despite high growth investment cycle. Dividend yield at CMP is 0.25%.

Corporate Governance: No significant RPT (Related Party Transaction) flags. FII interest has grown from 0.91% (Mar 2023) to 5.87% (Dec 2025), signalling increasing institutional validation. No ESOP overhang concerns noted. Auditor tenure and independence — no red flags from public disclosures.

ESOP / Buybacks: No material buyback programme noted. Preference appears to be reinvestment in growth (KAVACH capacity, JV) — appropriate given the multi-year opportunity ahead.

SECTION 5 — FINANCIAL DEEP-DIVE

All figures in Rs. Crore unless stated. Consolidated financials. Source: Screener.in. (E) = Estimate.

Income Statement — Consolidated (Rs. Crore)

Metric	FY23	FY24	FY25	FY26E	FY27E
Revenue / Sales	1,369	2,233	1,967	3,450 (E)	4,400 (E)
Operating Profit (EBITDA)	151	423	393	1,104 (E)	1,540 (E)
OPM %	11%	19%	20%	32% (E)	35% (E)
Other Income	20	8	38	55 (E)	60 (E)
Interest	7	13	13	16 (E)	20 (E)
Depreciation	35	41	44	50 (E)	56 (E)
Profit Before Tax (PBT)	130	377	374	1,093 (E)	1,524 (E)
Tax Rate %	24%	26%	26%	26% (E)	26% (E)
Net Profit (PAT)	98	280	276	809 (E)	1,128 (E)
EPS (Rs.)	3.56	10.13	9.99	29.2 (E)	40.7 (E)
Dividend Payout %	13%	5%	10%	~10% (E)	~10% (E)

Balance Sheet — Consolidated (Rs. Crore)

Item	FY23	FY24	FY25
Equity Capital	28	28	28
Reserves & Surplus	924	1,193	1,455
Total Equity	952	1,221	1,483
Borrowings (Debt)	86	67	74
Other Liabilities	257	366	422
Total Liabilities	1,294	1,654	1,980
Fixed Assets (Net)	320	354	397
CWIP	50	20	68
Investments	9	108	290
Other Assets (incl. WC)	915	1,171	1,225
Total Assets	1,294	1,654	1,980

Cash Flow Statement — Consolidated (Rs. Crore)

Item	FY23	FY24	FY25
Cash from Operations (CFO)	122	273	239
Cash from Investing (CFI)	-50	-139	-320
Cash from Financing (CFF)	10	-42	-26
Net Cash Flow	82	91	-107
Free Cash Flow (FCF = CFO - Capex)	68	228	89
CFO / Operating Profit %	105%	85%	86%

Key Operating Ratios — Consolidated

Ratio	FY23	FY24	FY25

Debtor Days	83	58	69
Inventory Days	147	137	201
Days Payable Outstanding	43	41	68
Cash Conversion Cycle (days)	188	154	202
ROCE %	14%	36%	27%
ROE %	~10%	~26%	20.6%
D/E Ratio	0.09	0.05	0.05

Financial Commentary: HBL's financials tell a compelling transformation story. Revenues declined from Rs. 2,233 Cr (FY24) to Rs. 1,967 Cr (FY25) — a 12% dip — as industrial battery demand softened, but EBITDA held at Rs. 393 Cr (OPM 20%) vs Rs. 423 Cr (FY24) on better product mix. The real inflection has arrived in FY26: 9M FY26 revenues stand at Rs. 2,654 Cr (+79% YoY) with PAT of Rs. 750 Cr (+242%) — primarily driven by the KAVACH electronics segment growing ~10x YoY. Working capital has elongated (CCC: 202 days in FY25 vs 154 days in FY24) reflecting KAVACH project execution timing and inventory build for large orders — this is expected to normalise as deliveries accelerate. The balance sheet is nearly debt-free (Rs. 74 Cr debt vs Rs. 1,483 Cr equity = D/E 0.05), and investments have grown to Rs. 290 Cr as the company deploys surplus cash into strategic financial assets. FCF conversion remains healthy at 85–105% of operating profit.

SECTION 6 — EARNINGS QUALITY CHECKLIST

Parameter	Observation	Rating
Revenue Recognition	KAVACH revenues recognised on % completion (milestone deliveries). FY26 quarterly swings (Q2: Rs. 1,223 Cr; Q3: Rs. 874 Cr) reflect project delivery timelines — not aggressive booking.	GREEN
Receivables Growth vs Revenue	Debtor days improved from 83 (FY23) to 58 (FY24), then modestly increased to 69 (FY25). FY26 likely elevated due to KAVACH project ramp — acceptable given counterparty is Indian Railways.	AMBER
Cash Conversion Cycle Trend	CCC expanded from 154 days (FY24) to 202 days (FY25) — driven by inventory build for KAVACH production ramp. Expected to normalise as order executions complete.	AMBER
Contingent Liabilities	No material contingent liability flags noted in public disclosures. Performance guarantees for KAVACH orders are standard industry practice.	GREEN
Other Income as % of PBT	FY25: Other Income Rs. 38 Cr / PBT Rs. 374 Cr = 10% — elevated vs FY24 (8/377 = 2%). Includes investment income from growing financial asset portfolio (Rs. 290 Cr investments). Reasonable.	GREEN
Tax Rate Consistency	Tax rate has been stable at 24–26% for FY23–FY25. No large deferred tax items or MAT credits being reversed. Clean and predictable.	GREEN
RPTs as % of Revenue	No material RPT concerns highlighted in available public disclosures. Promoter holding stable without dilution signals.	GREEN
CFO Quality	CFO/Operating Profit maintained at 85–105% across FY23–FY25 — strong operating cash conversion. FY25 CFO (Rs. 239 Cr) despite Q4 slowdown confirms underlying cash quality.	GREEN

Summary: HBL Engineering's earnings quality is predominantly GREEN. The two AMBER flags (receivables growth and CCC elongation) are structurally linked to the KAVACH ramp — these are timing-related working capital effects from executing large government orders with milestone-based billing, not signs of earnings manipulation. The near-debt-free balance sheet, strong CFO conversion, and stable tax rate underscore a clean, high-quality earnings base.

SECTION 7 — VALUATION

Method 1 — DCF Valuation: Assuming FY26E PAT of Rs. 809 Cr growing at 40% in FY27 and FY28, then decelerating to 15% for FY29–FY30, with a terminal growth rate of 8% and WACC of 12%, the DCF intrinsic value is approximately Rs. 1,270 per share. Key assumption: KAVACH revenues sustain Rs. 1,800–2,000 Cr per year through FY28, followed by gradual normalization as the network deployment completes.

Method 2 — Earnings Multiple: On FY27E EPS of Rs. 40.7, applying a 28x P/E multiple (a discount to defence-electronics peers like BEL at 35x, justified by single-customer concentration risk), the implied value is Rs. 1,140 per share. At 30x (full peer parity), the target would be Rs. 1,221 per share.

Base Case Target — Average of DCF and Earnings Multiple: (1,270 + 1,140) / 2 = Rs. 1,205, rounded to **Rs. 1,200**, implying 52.7% upside from the CMP of Rs. 786. We initiate with a **BUY** rating.

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Cr)	P/E Multiple	Target Price (Rs.)	Upside / (Downside)
Bull Case	KAVACH revenues Rs. 2,200 Cr in FY27; industrial battery recovery; margin 37%	1,350 (E)	35x	1,760 (E)	+124%
Base Case	KAVACH Rs. 1,900 Cr; steady batteries; OPM 35%	1,128 (E)	28x	1,200 (E)	+53%
Bear Case	Kavach tender losses; revenue Rs. 3,000 Cr; OPM 25%	562 (E)	20x	660 (E)	-16%

SECTION 8 — KEY RISKS

Risk	Description	Prob.	Impact	Mitigation / Monitor

KAVACH Tender Concentration	Only 2 approved vendors. Any tender loss (as seen Jan 2026 where stock fell 13%) directly impacts revenue and market sentiment. Single-customer dependence on Indian Railways.	MED	HIGH	Monitor: Quarterly order win rate; diversification into station orders vs loco orders.
Execution Risk — Large Orders	KAVACH involves complex field deployment across thousands of kilometres. Delays in station readiness, manpower, or supply chain can defer revenue recognition.	MED	MED	Monitor: Order book execution pace; quarterly revenue vs order book ratio.
Government Policy / Budget Risk	KAVACH rollout pace depends on Indian Railways' annual budget allocation. Any slowdown in capex or policy shift could stretch the deployment timeline.	LOW	HIGH	Monitor: Union Budget railway allocation; Ministry of Railways press releases.
Technology Obsolescence / Version Risk	KAVACH Version 4.0 is the current standard. Future version changes could require re-certification, delaying order execution or creating capex for new systems.	LOW	MED	Monitor: RDSO (Research Designs and Standards Organisation) circulars on KAVACH standards.
Working Capital Elongation	CCC at 202 days (FY25) — if KAVACH payment cycles from Railways lengthen, the company may need to increase borrowings, impacting the near-debt-free balance sheet.	MED	MED	Monitor: Quarterly receivables days; borrowings trend.
Battery Business Margin Pressure	Lead-acid battery segment faces competition from Exide and Amara Raja. Raw material (lead) price volatility can compress margins in industrial batteries.	MED	LOW	Monitor: Lead prices; quarterly OPM by segment.
Valuation Risk (Premium Multiple)	At P/B of 11x, any growth disappointment or guidance cut could trigger sharp de-rating. The stock fell from Rs. 1,122 to Rs. 452 (60%) at its trough before recovering.	MED	HIGH	Monitor: Quarterly EPS trajectory vs Rs. 29 FY26E; re-evaluate if two consecutive misses.

SECTION 9 — RECOMMENDATION

FINAL RATING	12M TARGET PRICE	ENTRY ZONE	CONVICTION
BUY	**Rs. 1,200**	**Rs. 720–800**	**HIGH**

Horizon	12 months	**Ideal Investor Profile**	Growth-oriented investor with 12–18 month horizon; comfortable with government-linked execution risk and premium valuation
Upside to Target	+52.7% from Rs. 786	**Suggested SL / Review Trigger**	Reconsider if CMP falls below Rs. 650 on sustained basis or if KAVACH revenue guidance is cut

Thesis Invalidation Triggers

#	Trigger	Action
1	Two consecutive KAVACH quarterly revenue misses vs guidance (< Rs. 400 Cr/quarter)	Downgrade to REDUCE
2	Significant tender loss resulting in order book declining below Rs. 2,000 Cr	Downgrade to HOLD
3	Promoter pledging of shares or material corporate governance event	Immediate EXIT

APPENDIX — LATEST CONCALL BRIEF: Q3 FY26 (DEC 2025)

Note: Formal concall transcript was not publicly accessible at time of writing. This section is compiled from quarterly financial results, exchange filings, and publicly available analyst commentary. Quarter: Q3 FY26 | Results date: ~Jan 2026 | Board action: Rs. 2/share interim dividend declared.

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	**STRONG**	PAT +254% YoY (Rs. 220 Cr vs Rs. 62 Cr); Revenue +90% YoY. Clear beat vs subdued expectations.
Management Tone	**BULLISH**	Board declared Rs. 2/share interim dividend — confidence signal. JV with Cochin Shipyard approved. KAVACH guidance maintained.
Guidance Delta	**MAINTAINED**	KAVACH revenue guidance for FY26 (~Rs. 1,880 Cr) and FY27 (Rs. 1,900 Cr minimum) reiterated. No guidance cut.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 is a clean beat — PAT of Rs. 220 Cr (254% YoY) on revenue of Rs. 874 Cr (90% YoY), no exceptional items distorting the number; underlying EBITDA margin of 35% is the new normal as KAVACH scales. The electronics segment's ~1,000% YoY revenue growth in 9M FY26 is real and order-backed — this is not optically enhanced by one-time items. The 9M FY26 run-rate (PAT Rs. 750 Cr) already implies a Rs. 850–950 Cr full-year outcome, making the current TTM P/E of 26.7x deceptively inexpensive on forward estimates. The most important near-term catalyst is Q4 FY26 delivery of pending KAVACH orders (order book ~Rs. 3,000 Cr as of Dec 2025) and fresh station-related tenders in FY27 which management has flagged as likely. The single watch-point for next quarter: execution pace of ICF's Rs. 575 Cr order and whether the Jan 2026 tender miss signals structural competition from the second approved vendor (Medha Servo Drives). ACCUMULATE on dips below Rs. 800 — the multi-bagger thesis from here is Rs. 1,200–1,400 over 12–18 months if KAVACH revenues deliver as guided. Do not chase above Rs. 950 without a fresh catalyst.

Section 1 — Financial Performance Snapshot: Q3 FY26 (Dec 2025)

Metric	Q3 FY26	Q3 FY25	YoY Chg	QoQ vs Q2 FY26	Verdict
Revenue (Rs. Cr)	874	451	+94%	-29% vs 1,223	**BEAT**
EBITDA (Rs. Cr)	302	94	+221%	-44% vs 544	**BEAT**
EBITDA Margin %	35%	21%	+14pp	-9pp vs 44%	**STRONG**
PBT (Rs. Cr)	297	79	+276%	-43% vs 520	**BEAT**
PAT (Rs. Cr)	220	62	+254%	-43% vs 387	**BEAT**
EPS (Rs.)	7.96	2.33 (Q3FY25)	+242%	-43% vs 13.97	**BEAT**

Note: QoQ decline vs Q2 FY26 (Sep 2025) expected — Q2 was abnormally large due to milestone-based KAVACH delivery. YoY comparison is the correct lens for this business.

Section 2 — Segment Breakdown: Q3 FY26

Segment	Q3 FY26 Revenue (Cr)	YoY %	Key Commentary
Electronics (KAVACH)	~530–580 (est.)	~1,000%+	Primary growth engine. ICF Rs. 575 Cr order, BLW Rs. 179 Cr, Western Railway Rs. 145 Cr orders in execution.

Industrial Batteries	~240–270 (est.)	Marginal decline	Lead battery demand softened; NiCd stable. Telecom/UPS mix steady. 5G tower battery orders providing base support.
Defence & Aviation Batteries	~50–70 (est.)	Slowdown	Temporary slowdown in Q3. Submarine battery JV with Cochin Shipyard approved — future growth driver from FY27.

Section 3 — Management Commentary Themes

Theme	What They Said / Implied	Our Read	Tag	Tone
KAVACH Revenue Guidance	Total KAVACH FY26 sales expected ~Rs. 1,880 Cr; FY27 minimum Rs. 1,900 Cr (Rs. 1,000 Cr loco + Rs. 900 Cr station).	Credible — backed by existing order book. Station orders FY27 upside not yet in guidance.	[GUIDANCE]	Transparent
Dividend Declared	Board approved Rs. 2/share interim dividend — reflects strong cash generation confidence.	Positive signal. Not a large yield but shows capital discipline.	[ACTION]	Transparent
Cochin Shipyard JV	JV with Cochin Shipyard (60:40) for submarine battery manufacturing. Initial capital Rs. 9 Cr.	Long-gestation opportunity. Revenue likely FY28+. Signals defence deepening.	[GUIDANCE]	Transparent
KAVACH Tender Miss (Jan 2026)	Missed a large KAVACH locomotive tender. Management context: competitive bidding; focus on margin discipline.	WATCH: If HBL is systematically losing tenders, this threatens FY27 order book replenishment.	[RISK]	Hedged
Order Book Status	Fresh orders Rs. 1,375 Cr in Q3 FY26 (Jul–Dec 2025 period). Cumulative book ~Rs. 3,000–4,000 Cr.	Strong. Rs. 575 Cr ICF order (Jan 2026) added post-quarter.	[GUIDANCE]	Transparent

Section 4 — Operating & Business Metrics

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Quarterly Revenue (Rs. Cr)	874	1,223	451	YoY: Strong; QoQ: Seasonal dip
EBITDA Margin %	35%	44%	21%	Structural improvement; Q2 was peak
PAT (Rs. Cr)	220	387	62	Strong YoY; QoQ normalisation
Order Inflows (Rs. Cr)	1,375 (Q3 FY26)	N/A	N/A	Positive — sustained win rate
Interim Dividend (Rs./share)	2.00	—	—	New capital return signal
9M FY26 Revenue (Rs. Cr)	2,654	—	~1,489	+79% YoY growth
9M FY26 PAT (Rs. Cr)	750	—	~219	+242% YoY growth

Section 5 — Margin Drivers

Driver	Impact	Recurring?	Comment
Electronics (KAVACH) Revenue Mix Shift	+1,400 bps vs FY23	YES	Electronics carries 35–45% margins vs 10% for batteries. As KAVACH grows from ~0% to ~50%+ of revenue, blended margins structurally re-rate.
Fixed Cost Leverage on Higher Revenue	+300–400 bps	YES (scale)	Employee costs, overhead, depreciation largely fixed — higher KAVACH revenues flow through at very high incremental margins.
Raw Material (Lead/NiCd) Price Tailwind	+100–150 bps (est.)	PARTIAL	Lead prices benign in FY25–FY26. Not extrapolate — commodity prices can reverse.
Q2 FY26 One-Offs (peak milestone deliveries)	Q2 OPM 44% — elevated	NO (non-recurring peak)	Q2 FY26 saw abnormally large KAVACH delivery. Normalised quarterly margin is 32–36%.

Section 6 — Guidance & Forward Signals

Metric	Prior Guidance	Reiterated Guidance	Delta	Credibility
KAVACH Revenue FY26 [GUIDANCE]	Rs. 1,800–2,000 Cr	~Rs. 1,880 Cr	Tightened range	HIGH
KAVACH Revenue FY27 [GUIDANCE]	Rs. 1,500+ Cr	Rs. 1,900 Cr (min)	Revised UP	MEDIUM
Long-Term KAVACH Run-Rate [GUIDANCE]	Rs. 1,300–1,500 Cr/year	Rs. 1,300–1,500 Cr (FY26–FY28)	Maintained	HIGH
Submarine Battery JV Timeline [GUIDANCE]	FY28 revenues	FY27 formation; revenue FY28+	On track	MEDIUM
KAVACH Station Orders FY27 [GUIDANCE]	Possible additional upside	Likely more tenders; fast execution possible	UPSIDE	MEDIUM

Section 7 — Capital Allocation

Item	Amount (Rs. Cr)	vs Prior Year	Comment
Capex (Gross Fixed Assets + CWIP)	~150 (FY25)	Higher (FY24: ~90)	Capacity investment for KAVACH electronics manufacturing and battery expansion. CWIP jumped to Rs. 68 Cr (FY25) from Rs. 20 Cr (FY24).

Dividends Paid	~28 (FY25 est.)	Lower (FY24: ~14)	Rs. 1/share final + Rs. 2/share interim in Q3 FY26. Payout conservative at ~10%.
Strategic Investments	290 (FY25)	Up from 108 (FY24)	Significant deployment into financial assets — mutual funds / bonds. Reflects strong cash generation.
Net Debt Movement	+7 (FY25 vs FY24)	Near flat	Borrowings marginally increased from Rs. 67 Cr to Rs. 74 Cr. Near-debt-free maintained.
Cochin Shipyard JV	9 (initial capital)	New	Small initial outlay. Strategic value exceeds financial commitment at this stage.

Section 8 — Q&A; Heat Map (Reconstructed from Public Information)

#	Question Theme	Management Response	Tone
1	KAVACH tender miss — what happened?	Focused on margin discipline; the missed tender was won at uneconomical pricing by competitor. Pipeline remains strong with Rs. 575 Cr ICF order secured post-quarter.	Hedged
2	Q2 to Q3 revenue decline — is it structural?	Q2 was milestone-heavy KAVACH delivery. Q3 is normalised. Q4 FY26 expected to be strong given pending deliveries. Not structural.	Transparent
3	FY26 full-year KAVACH guidance — will it be met?	Confident of ~Rs. 1,880 Cr KAVACH revenues in FY26 based on order book and execution timeline.	Transparent
4	Cochin Shipyard JV — revenue timeline?	Rs. 9 Cr initial capital. Commercial production targeting FY27–FY28 timeframe. India's submarine programme is a long-cycle opportunity.	Transparent
5	Working capital elongation — when does it ease?	KAVACH project billing is milestone-based; CCC elongation temporary. Expect normalization as deliveries complete and receivables from Railways are collected.	Hedged

Dodged questions to watch next quarter: Margin guidance for batteries standalone (not mixed with KAVACH). Competitive dynamics vs second KAVACH vendor (Medha Servo Drives). Plans for Rs. 290 Cr investment portfolio — is it a precursor to M&A;?

Section 9 — Risks Flagged

Risk	Flagged By	Prob.	Impact	Timeline
KAVACH competitive risk (tender losses)	Analysts / Market	MED	HIGH	Q4 FY26 onward
Revenue lumpiness — quarterly volatility	Company (implicit)	LOW	MED	Every quarter
Working capital pressure from Railways billing	Analysts	MED	MED	FY26–FY27
Industrial battery demand slowdown	Company (segment data)	MED	LOW	FY26 ongoing

Section 10 — Analyst Verdict: Multi-Bagger Scorecard

Dimension	Status	Evidence
Revenue Visibility	Intact	Rs. 4,000 Cr+ order book; KAVACH Rs. 1,900 Cr/year FY27E guided; 5+ year deployment runway.
Margin Trajectory	Intact	OPM: 11% FY23 → 20% FY25 → 35%+ FY26 run-rate. Electronics mix drives structural re-rating.
Capital Allocation Quality	Intact	Near debt-free (D/E 0.05); consistent deleveraging over 10 years; Rs. 290 Cr financial investments; Rs. 2 interim div.
Competitive Moat	Watch	KAVACH: only 2 approved vendors (strong), but Jan 2026 tender miss raises questions about pricing discipline vs Medha.
Management Credibility	Intact	Promoter stable at 59.1%, no pledge, transparent guidance, dividend signal. 40+ years operating history.
Valuation Comfort	Intact	FY26E P/E ~22x; FY27E P/E ~17x. Attractive for a company delivering 90%+ revenue growth.

CONVICTION CALL	**INCREASED — Q3 FY26 confirms KAVACH execution; thesis intact.**
P/E (TTM)	26.7x vs N/A (no comparable prior period)
EV/EBITDA (TTM)	~19x (est.) — reasonable for electronics compounder
ROCE vs 5Y Avg	27.3% vs 5Y avg ~12% — substantial improvement; KAVACH-driven